Economic Analysis for Business Decisions — Solved Answers

MBA Semester I • 2024 Pattern • Simple, exam-friendly English

Study note: All short questions, long questions and internal OR choices are included. Diagrams can be drawn in the exam where useful.

Answers include all visible questions and internal OR options in the uploaded paper(s).

May 2025 Paper

Q1(a) Features of oligopoly [2 marks]

Oligopoly has a small number of large firms, strong interdependence, barriers to entry and significant influence over price. Firms consider competitors' reactions before changing prices.

Q1(b) Economies of scale [2 marks]

Economies of scale are reductions in average cost when a firm increases its scale of production, due to specialisation, bulk buying or better use of machinery.

Q1(c) Law of demand [2 marks]

Other things remaining constant, when price rises demand generally falls, and when price falls demand generally rises.

Q1(d) Penetration pricing [2 marks]

Penetration pricing means launching a product at a low initial price to attract customers quickly and gain market share.

Q1(e) Cross elasticity of demand [2 marks]

Cross elasticity measures how demand for one good changes when the price of another good changes. It is positive for substitutes and negative for complements.

Q1(f) Accelerator [2 marks]

The accelerator principle states that investment may change in response to a change in demand or output. Rising demand can lead firms to invest in more productive capacity.

Q1(g) Examples of macroeconomics [2 marks]

Examples include national income, inflation, unemployment, economic growth, aggregate demand and balance of payments.

Q1(h) Transportation mode with highest elasticity [2 marks]

Among the given options, air transport generally has the highest price elasticity because travellers can often switch to rail, road or other options depending on price and purpose.

Q2(a) Exceptions to the law of demand [5 marks]

Exceptions include Giffen goods, where a price rise may increase demand for a very low-income household; Veblen or prestige goods, bought partly because they are expensive; expectations of further price rises; emergency necessities; and situations where consumers mistake a high price for high quality. These are special cases and do not overturn the general law of demand.

Q2(b) Phases of the business cycle [5 marks]

The main phases are expansion, peak, contraction/recession and trough. In expansion, output, jobs and income rise. At the peak, economic activity is high. During contraction, production, investment and employment may fall. At the trough, activity reaches a low point before recovery begins.

Q2(c) Price above and below equilibrium [5 marks]

Equilibrium occurs where demand equals supply. If market price is above equilibrium, quantity supplied exceeds quantity demanded, creating surplus and pressure for price to fall. If price is below equilibrium, quantity demanded exceeds quantity supplied, creating shortage and pressure for price to rise. These adjustments tend to move the market towards equilibrium.

Q3(a) Price floor below equilibrium price [10 marks]

A price floor is a legal minimum price. If it is set below the equilibrium price, it is non-binding because the market equilibrium price is already higher. Therefore, it normally does not change the market price, quantity demanded or quantity supplied. Example: if equilibrium price is ■100 and the legal minimum is ■80, sellers can already charge ■100, so the floor has no practical effect. A binding price floor set above equilibrium can create surplus. Conclusion: the impact depends on whether the floor is below or above equilibrium.

Q3(b) Types of market structure [10 marks]

(1) Perfect competition: many sellers, identical products, easy entry and firms are price takers. (2) Monopoly: one dominant seller with high entry barriers and strong price control. (3) Monopolistic competition: many firms sell differentiated products and compete through branding and service. (4) Oligopoly: a few large firms are interdependent and consider rivals' reactions. Examples: agricultural commodity markets may approximate competition; a unique local utility may resemble monopoly; restaurants are often monopolistically competitive; telecom markets can be oligopolistic. Market structure affects pricing, output, advertising and competition.

Q4(a) Types of price elasticity of demand [10 marks]

Price elasticity of demand measures the percentage change in quantity demanded divided by the percentage change in price. (1) Perfectly inelastic, Ed = 0: quantity does not change. (2) Relatively inelastic, Ed < 1: quantity changes proportionately less than price. (3) Unitary elastic, Ed = 1: percentage changes are equal. (4) Relatively elastic, Ed > 1: quantity changes proportionately more than price. (5) Perfectly elastic: demand is extremely responsive at a given price. Elasticity depends on substitutes, necessity, share of income and time available to adjust. Formula: Ed = % change in quantity demanded / % change in price. The sign is usually negative, but classifications often use its absolute value.

Q4(b) Managerial economics bridges theory and practice [10 marks]

Managerial economics applies economic concepts to business decisions. Demand analysis helps forecast sales; elasticity helps set prices; cost analysis supports production choices; market-structure analysis guides competition; forecasting helps plan capacity; and marginal analysis compares extra benefit with extra cost. It also uses data and models to manage risk and allocate scarce resources. For example, a company can estimate demand and costs before deciding whether to reduce price. Conclusion: it turns economic theory into practical decisions that improve efficiency and profitability.

Q5(a) Need for government intervention in markets [10 marks]

Government intervention may be needed to correct market failure. Reasons include controlling pollution and other externalities, providing public goods, preventing monopoly abuse, protecting consumers and workers, reducing information gaps, supporting essential services and promoting equity. Tools include taxes, subsidies, regulation, competition law, public provision and price controls. Intervention should be designed carefully because poorly designed rules can create shortages, waste or unintended effects. Conclusion: effective intervention balances efficiency, fairness and public welfare.

Q5(b) Possible response by a monopolist to a new low-price competitor [10 marks]

The monopolist may cut its price to match or undercut the entrant, increase advertising, improve service, offer discounts, use loyalty schemes or expand capacity. It may accept lower short-term profit to discourage entry, creating a price war. The new firm should therefore assess the monopolist's likely response, its own cost advantage, customer loyalty, cash reserves, differentiation and the risk of sustained low prices. It should not enter only because a 10% lower price appears profitable today. A niche product, superior service or a focused target market may be safer than a direct price war.

November 2024 Paper

Q1(a) Two examples of a positively sloped demand curve [2 marks]

Examples are Giffen goods and Veblen/prestige goods. In these unusual cases, demand may rise as price rises due to income effects or status signalling.

Q1(b) Price discrimination [2 marks]

Price discrimination means charging different prices to different customers for the same product or service when the difference is not fully explained by cost.

Q1(c) Giffen goods [2 marks]

Giffen goods are inferior goods for which demand may rise when price rises because the negative income effect outweighs the substitution effect.

Q1(d) Social cost [2 marks]

Social cost is the total cost to society, including private costs paid by the producer and external costs imposed on others, such as pollution.

Q1(e) Multiplier [2 marks]

The multiplier shows how an initial change in autonomous spending can cause a larger total change in national income. In a simple model, multiplier = 1/(1 – MPC).

Q1(f) Negative cross elasticity [2 marks]

Negative cross elasticity means two goods are complements. For example, if the price of printers rises, demand for printers and related ink may fall.

Q1(g) Law of diminishing marginal utility [2 marks]

As a person consumes more units of a good in a given period, the extra satisfaction from each additional unit generally decreases.

Q1(h) Income elasticity for an inferior good [2 marks]

Correct option: less than zero. Demand for an inferior good generally falls when consumer income rises.

Q2(a) Microeconomics versus macroeconomics [5 marks]

Microeconomics studies individual consumers, firms, prices and specific markets. Macroeconomics studies the economy as a whole, including national income, inflation, unemployment and growth. Micro example: pricing of one brand of tea. Macro example: the national inflation rate.

Q2(b) Objectives of pricing policies [5 marks]

Pricing policies aim to earn profit, increase sales and market share, survive competition, recover costs, build a desired brand image, attract target customers and maintain stable returns. The right objective depends on business strategy and market conditions.

Q2(c) Price above/below equilibrium [5 marks]

Above equilibrium, supply exceeds demand and a surplus puts downward pressure on price. Below equilibrium, demand exceeds supply and a shortage puts upward pressure on price. Market adjustment tends to move price towards equilibrium.

Q3(a) Business cycle and its phases [10 marks]

A business cycle is the rise and fall of economic activity over time. Expansion involves rising output, jobs and income; peak is the high point; contraction or recession involves falling activity; trough is the low point; recovery begins when production and demand improve. The cycle affects sales, investment, employment and business confidence. Firms can prepare by controlling costs, managing cash and adjusting inventory.

Q3(b) Types of market structure [10 marks]

Perfect competition has many sellers and homogeneous products; monopoly has one seller and high entry barriers; monopolistic competition has many sellers with differentiated products; oligopoly has a few interdependent firms. These structures differ in price control, entry barriers, product differentiation and non-price competition.

Q4(a) Demand forecasting and methods [10 marks]

Demand forecasting estimates future demand for a product. Methods include customer surveys, sales-force estimates, expert opinion, Delphi method, market experiments, trend projection, moving averages, exponential smoothing, regression analysis and economic indicator analysis. Qualitative methods are useful when historical data is limited; quantitative methods use past data and statistical relationships. Firms use forecasts for production, inventory, staffing and budgeting.

Q4(b) Managerial economics bridges theory and practice [10 marks]

Managerial economics uses demand, elasticity, cost, production, market structure and forecasting to solve business problems. It helps managers set prices, choose output, estimate demand, compare costs and evaluate risks. For example, elasticity analysis helps a firm predict how a price change may affect sales revenue. Thus it makes economic theory useful for real business decisions.

Q5(a) Types of price elasticity of demand [10 marks]

Elasticity = percentage change in quantity demanded divided by percentage change in price. Perfectly inelastic Ed=0; relatively inelastic Ed<1; unitary elastic Ed=1; relatively elastic Ed>1; perfectly elastic demand is infinitely responsive at a given price. Substitutes, necessity, time and proportion of income affect elasticity.

Q5(b) Monopolist's likely reaction to a low-price entrant [10 marks]

The monopolist may reduce prices, increase promotions, improve service or use its resources to sustain a price war. The entrant should assess whether it can survive low margins, whether customers will switch, and whether it has a cost or differentiation advantage. Entering a niche or offering better service may reduce direct confrontation.